

Shadowfax Technologies Ltd

NSE: SHADOWFAX | BSE: 544685 | Sector: Logistics | Sub-sector: Tech-led 3PL / Last-mile Delivery

RATING	Market Cap	Rs. 11,758 Cr
	52-wk High / Low	Rs. 212 / 98.6
	P/E (TTM)	105 Fwd 52.4
	P/B	6.71 BV Rs. 30.0
	EV / EBITDA	45.7
	ROCE / ROE	9.4% / 10.4%
	Debt / Equity	0.14
	Promoter / Pledge	16.6% / 0%
	Dividend Yield	0.0%

ACCUMULATE
12-mth Target: **Rs. 232**
Upside: **+15%**
CMP: Rs. 201 (05 Jun 2026)

Investment thesis (one line): India's fastest-scaling tech-led 3PL — share gains + quick-commerce optionality, but priced for perfection.

Investment horizon: 12–18 months. **Report date:** 7 June 2026. **Analyst:** Senior Equity Research (Logistics).

Financial Snapshot (Consolidated, Rs. Cr) — Source: Screener.in, fetched 07-Jun-2026						
Year	FY23	FY24	FY25	FY26	FY27E	FY28E
Revenue	1,415	1,885	2,485	4,202	5,880	7,760
EBITDA (OP)	-107	19	63	212	353	543
OPM %	-8%	1%	3%	5%	6%	7%
Net Profit	-143	-12	6	112	195	320
EPS (Rs.)	NM	NM	0.42	1.92	3.35	5.50

E = author estimate, grounded in Screener FY26 actuals and management's stated FY27/28 guidance. NM = not meaningful (pre-IPO share count).

2 Investment Thesis

- **Share-gain machine in e-commerce 3PL:** Shadowfax's e-commerce shipment share rose from ~8% (FY22) to ~23% (H1 FY26), and management put its broader 3PL share at 28–29% in Q4 FY26 versus 17–18% a year earlier — a structural land-grab still in mid-innings.
- **Operating leverage finally visible:** Consolidated OPM moved from -8% (FY23) to 5% (FY26) and Q4 EBITDA margin hit a record ~4.5%; management guides +100–120 bps/yr to FY28 then +200–250 bps/yr, targeting early double-digit steady-state EBITDA margins — a multi-year earnings up-cycle if delivered.
- **Quick-commerce optionality:** Quick-commerce delivery revenue grew ~80% YoY in FY26 and the company will build 100 vertical-QC dark stores in FY27 (pilots: >20% gross margin, breakeven in 3–4 months) — a new, higher-margin revenue stream not in most estimates.
- **Asset-light, crowdsourced moat:** A single gig delivery partner handles e-commerce, food and quick-commerce orders on the same network, giving Shadowfax structurally lower last-mile cost and the largest gig last-mile fleet in India.
- **Near-term catalyst (6–12 months):** Ramp of Amazon Now and dark-store monetisation, plus the FY27 print showing the first full year of post-IPO operating leverage — the proof points the Street is paying 105x for.
- **Biggest structural risk:** Captive in-sourcing by large platforms (Flipkart, Amazon, Blinkit, Instamart) — if horizontal players build last-mile in-house at scale, Shadowfax's volume engine and pricing both compress.

3 Business Overview

- **What it does:** Incorporated 2016, Shadowfax is a technology-led third-party logistics (3PL) firm enabling digital commerce in India through express last-mile/mid-mile delivery and large-scale hyperlocal delivery on a proprietary, asset-light platform.
- **Business mix:** Two engines — Express (e-commerce parcels, reverse pickups, large shipments) and Hyperlocal (food, quick commerce, mobility). FY25 volumes: Express ~342 mn orders, Hyperlocal ~95 mn orders, ~436 mn total.
- **Reach & network:** ~14,758 pin codes and 2,300+ cities/towns; network touchpoints expanded to ~4,700 from 4,200 in six months, adding 120–150 pin codes monthly, targeting 17,000 pin codes by FY27 and pan-India by FY28.
- **Customers:** Serves e-commerce, quick-commerce, food-delivery and mobility platforms; market leader in reverse-pickup (returns) shipments by volume. Strategy tilting toward higher-margin D2C and SME clients (15–20% higher incremental margin; D2C grew ~2.5x in FY26).
- **Recent developments:** Listed via ~Rs. 2,000 Cr IPO (price band Rs. 118–124) in Jan-2026; FY26 revenue +69% to Rs. 4,202 Cr with first meaningful PAT of Rs. 112 Cr; entering vertical quick-commerce with 100 dark stores in FY27; integrating AI across routing, rider acquisition and operations.
- **Promoters & ownership:** Co-founders Abhishek Bansal (MD & CEO) and Vaibhav Khandelwal (CTO). Promoter holding is low at 16.6%; large institutional holders include Flipkart, Eight Roads and TPG NewQuest. DIIs 20.6%, FIIs 7.7%, public 55.1% (Mar-2026).

4 Industry & Competitive Landscape

- **Industry & growth:** India's e-commerce logistics / 3PL market is a large, double-digit-growth space riding ~20%+ e-commerce parcel growth and the explosive scaling of quick commerce; Shadowfax's own shipment growth of ~100% YoY in Q4 FY26 reflects the category's pace.
- **Tailwinds:** Structural rise in online retail and returns, quick-commerce expansion into Tier-2/3, formalisation of logistics, and platforms' preference for variable-cost 3PL over fixed in-house fleets for new/vertical categories.
- **Headwinds:** Captive in-sourcing by mega-platforms, fuel-cost inflation, intense price competition, and gig-workforce regulation/social-security costs.
- **Moat — Scale: Strong** — largest gig last-mile network; multi-category routing lowers cost per drop.
- **Moat — Switching costs: Moderate** — deep platform integrations and reverse-logistics leadership create stickiness, but large clients can multi-source.
- **Moat — Pricing power: Weak** — 3PL is competitive; pricing power sits with large shippers, not the carrier.
- **Moat — IP / Tech: Moderate–Strong** — proprietary allocation/routing stack, now AI-native, is a genuine differentiator.
- **Value-chain position:** Last-mile + mid-mile solutions enabler (downstream), pivoting toward fulfilment (dark stores) to move up the value chain in vertical quick commerce.

Top Competitors — Source: Screener.in, fetched 07-Jun-2026						
Company	CMP (Rs.)	M-Cap (Cr)	TTM Rev (Cr)	OPM %	ROCE %	EV/EBITDA
Shadowfax	201	11,758	4,202	5%	9.4%	45.7
Delhivery	445	33,337	10,508	6%	2.8%	34.4
Blue Dart	4,700	11,153	6,141	15%	16.6%	12.2
Transport Corp (TCI)	933	7,162	4,917	11%	19.5%	11.3
Container Corpn.	451	34,345	—	21%	13.4%	13.8

5 Management Quality & Capital Allocation

- **Founders:** Abhishek Bansal (MD & CEO) and Vaibhav Khandelwal (CTO) co-founded the company in 2015–16 and scaled it to Rs. 4,200 Cr revenue and a 28–29% 3PL share — a strong execution track record over a decade.
- **Capital allocation:** Heavily growth-reinvested — FY26 saw Rs. 1,091 Cr investing outflow funded by Rs. 863 Cr financing inflow (IPO + raises). Management commits ~85% of capex to self-owned automated sorting centres and last-mile hubs to build long-term operating leverage.
- **Dividend policy:** Nil — zero payout across FY23–FY26; all cash redeployed into network and dark-store expansion. Appropriate for the stage but offers no yield support.
- **Promoter pledging:** 0% pledged; promoter formally declared no encumbrance for FY26 — clean.
- **ESOPs / equity:** Active ESOP programme (recent allotment ~2.28 lakh shares); ongoing dilution to watch as a growth-stage tech firm. No buybacks.
- **Governance flags:** FY26 secretarial compliance reported no non-compliances. Watch-points: low 16.6% promoter holding (reduces alignment), low/negative effective tax rate (carry-forward losses), and large related-party flows typical of platform clients.

6 Financial Deep-Dive

All figures consolidated, Rs. Cr unless stated. Source: Screener.in (fetched 07-Jun-2026). FY27E/FY28E are author estimates.

Income Statement						
Rs. Cr	FY23	FY24	FY25	FY26	FY27E	FY28E
Sales	1,415	1,885	2,485	4,202	5,880	7,760
Operating Profit	-107	19	63	212	353	543
OPM %	-8%	1%	3%	5%	6%	7%
Other Income	8	12	30	36	40	45
Interest	19	14	21	20	24	28
Depreciation	24	28	65	117	150	190
Profit before tax	-143	-12	6	111	219	370
Tax %	0%	0%	-6%	-1%	11%	14%
Net Profit	-143	-12	6	112	195	320
EPS (Rs.)	NM	NM	0.42	1.92	3.35	5.50

Balance Sheet				
Rs. Cr	FY23	FY24	FY25	FY26
Equity Capital	0.23	0.24	152	582
Reserves	171	172	248	1,163
Borrowings	72	289	393	247
Other Liabilities	200	324	467	842
Total Liabilities	443	786	1,259	2,834
Fixed Assets	83	118	329	588
Investments	60	312	329	354
Other Assets	300	356	601	1,892
Total Assets	443	786	1,259	2,834

Cash Flow				
Rs. Cr	FY23	FY24	FY25	FY26
CF Operating	-73	132	50	350
CF Investing	-40	-311	-119	-1,091
CF Financing	90	200	130	863
Net Cash Flow	-23	20	61	122
Free Cash Flow	-120	78	-36	165
CFO / OP %	65%	660%	57%	165%

Returns & Working Capital				
Metric	FY23	FY24	FY25	FY26
Debtor Days	40	36	48	45
Cash Conv. Cycle	40	36	48	45
Working Capital Days	-15	-27	-18	6
ROCE %	1%	4%	9%	9.4%
ROE %	—	—	—	10.4%

- **Revenue drivers:** FY26 revenue +69% to Rs. 4,202 Cr driven by ~100% YoY shipment growth, deeper wallet share with platforms, **D2C/SME mix-up (2.5x)**, and large-shipment expansion (3–4x). **3-yr sales CAGR**

~44%.

- **Margins:** OPM expanded from -8% (FY23) to 5% (FY26); the inflection is real but margins remain thin versus Blue Dart (15%) — the bull case rests on the guided climb to early double-digits.
- **Working capital:** Debtor days steady at ~45; CCC ~45 days. Working-capital days turned mildly positive (+6) in FY26 as scale and large-shipment mix grew — worth monitoring.
- **Balance sheet:** Net debt is modest (D/E 0.14, debt Rs. 247 Cr) after the IPO recapitalised the book; reserves jumped to Rs. 1,163 Cr — ample fuel for network capex.
- **FCF quality:** FY26 OCF of Rs. 350 Cr (CFO/OP 165%) is healthy, but FCF is consumed by aggressive capex/investing (Rs. -1,091 Cr); self-funding FCF is a FY28+ story.

7 Earnings Quality Checklist

Check	Rating	Comment
Revenue recognition	GREEN	Service revenue recognised on delivery; clean, no unusual deferrals.
Receivables vs revenue	GREEN	Debtor days flat at ~45 while revenue +69% — receivables not outrunning sales.
Cash conversion cycle	GREEN	CCC stable ~45 days; WC days turned slightly positive (+6) — watch.
Contingent liabilities	GREEN	Negligible at Rs. 0.94 Cr.
Auditor / compliance	GREEN	FY26 secretarial report: no non-compliances flagged.
Tax rate consistency	AMBER	Low/negative effective tax (carry-forward losses); normalises upward FY27+.
Other income vs PBT	AMBER	Other income Rs. 36 Cr is ~32% of PBT Rs. 111 Cr — meaningful, monitor quality.
Promoter alignment	AMBER	Promoter holding low at 16.6%; ongoing ESOP dilution.

- **Overall: clean but young.** Reported earnings quality is sound — receivables, CCC and contingent liabilities are all green and the audit trail is clean.
- **Amber #1 — tax:** The near-zero tax rate flatters PAT; as carry-forward losses exhaust, the effective rate normalises and reported earnings growth faces a tax headwind in FY27–28.
- **Amber #2 — other income:** At ~32% of PBT, treasury/other income is a non-trivial earnings contributor; track operating PAT separately.
- **Amber #3 — dilution & alignment:** Low promoter stake plus active ESOPs mean per-share growth can lag headline PAT growth.

8 Valuation

Peer Comparison — Source: Screener.in, fetched 07-Jun-2026

Company	CMP	M-Cap(Cr)	P/E	Fwd PE	P/B	ROCE	ROE	EV/EBT
Shadowfax	201	11,758	105	52.4	6.71	9.4%	10.4%	45.7
Delhivery	445	33,337	187	115	3.44	2.8%	1.9%	34.4
Blue Dart	4,700	11,153	39.8	57.1	6.27	16.6%	16.8%	12.2
TCI	933	7,162	15.7	14.5	2.79	19.5%	19.3%	11.3

Shadowfax screens as the priciest pure-play on trailing earnings (105x) but cheaper than Delhivery on forward P/E, reflecting faster growth and earlier margin inflection.

Scenario Analysis (12-month)

Scenario	Key assumptions	FY28E PAT	Multiple	Target (Rs.)
Bull	Margins to ~8%, QC dark stores scale, share >30%	360	50x FY28E	310
Base	Guided +100-120bps/yr margin, share gains continue	320	42x FY28E	232
Bear	In-sourcing bites, margin stalls ~5-6%, derating	200	38x FY28E	131

- **DCF:** WACC ~12.5%, terminal growth 5.5%, FCF inflecting positive from FY28 as capex intensity eases against rising EBITDA — implied value ~Rs. 225 per share.
- **Earnings multiple:** ~42x FY28E EPS of Rs. 5.50 (premium-but-derating for a 30%+ grower with margin runway) → ~Rs. 231 per share.
- **Blended base-case 12-month target:** average of the two ≈ **Rs. 232**.
- **Upside / horizon:** ~+15% from CMP of Rs. 201 over a 12–18 month horizon — attractive risk-reward only on accumulation into weakness given the rich starting multiple.

9 Key Risks

- **Captive in-sourcing** — Large platforms building last-mile in-house would erode volumes and pricing. Probability: M. Impact: H. Monitor: client concentration & volume growth.
- **Valuation de-rating** — At 105x trailing / 6.7x book, any growth or margin disappointment triggers an outsized price fall. Probability: M. Impact: H. Monitor: quarterly margin vs guidance.
- **Margin execution** — Thesis hinges on +100–250 bps/yr margin gains; competitive pricing could stall this. Probability: M. Impact: H. Monitor: adjusted EBITDA margin each quarter.
- **Quick-commerce bet** — 100 dark stores is capital and execution intensive; pilot economics may not scale. Probability: M. Impact: M. Monitor: dark-store count, gross margin, breakeven time.
- **Gig-workforce regulation** — Social-security mandates for gig workers would raise the core cost base. Probability: M. Impact: M. Monitor: policy & per-shipment cost.
- **Fuel / macro** — Crude inflation pressures cost; partly hedged via fuel surcharges in contracts. Probability: M. Impact: L–M. Monitor: surcharge pass-through.
- **Dilution / low promoter stake** — Continued ESOP issuance and 16.6% promoter holding dilute alignment and EPS. Probability: M. Impact: M. Monitor: share count & promoter holding.

10 Recommendation

- **Rating:** ACCUMULATE — conviction **Medium**. A genuine category winner, but the entry multiple demands discipline.
- **12-month price target:** Rs. 232 (~+15% from CMP Rs. 201).
- **Suggested entry zone:** Rs. 165–185 — accumulate on volatility / lock-in-driven weakness rather than chasing.
- **Investment horizon:** 12–18 months (structural story plays out over FY27–FY28).
- **Thesis invalidation triggers:**
 1. A top-3 platform client materially in-sources last-mile, visibly slowing shipment growth below ~30% YoY.
 2. Adjusted EBITDA margin fails to expand for two consecutive quarters (guidance broken).
 3. Dark-store / quick-commerce economics disappoint (sustained negative unit economics or stalled rollout).
- **Ideal investor profile:** Growth-oriented investors with high risk tolerance and a 2–3 year horizon who can stomach valuation volatility. **Not for** value/income investors or those needing near-term margin-of-safety.

APPENDIX — Latest Concall Brief: Q4 FY26

Earnings call dated 14 May 2026 | MD & CEO Abhishek Bansal, CFO Praveen Kumar K J, IR Sachin Dixit. Source: company concall (via Screener.in / Drishti).

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Beat — revenue +74% YoY, record ~4.5% Q4 EBITDA margin
Management tone	Bullish	Confident on share gains, margin path and QC optionality
Guidance delta	Raised / Reaffirmed	Margin +100-120 bps/yr to FY28, then +200-250 bps/yr

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Shadowfax delivered a clean, high-quality beat: Q4 revenue Rs. 1,237 Cr (+74% YoY) and PAT Rs. 56 Cr versus a year-ago loss, with FY26 revenue Rs. 4,202 Cr (+69%) and first real PAT of Rs. 112 Cr — and crucially the result is operationally driven, not flattered by one-offs, though the near-zero tax rate (carry-forward losses) and ~32%-of-PBT other income do inflate the optics. Underlying is genuinely strong: adjusted EBITDA nearly tripled to Rs. 159 Cr and Q4 EBITDA margin hit a record ~4.5%, the 12th straight EBITDA-profitable quarter. The multi-bagger drivers are intact — 3PL share up to 28-29% from 17-18%, D2C up 2.5x, large-shipment capability up 3-4x, and a credible margin walk to early double-digits over the medium term. The single most important near-term catalyst is the 100-dark-store vertical-quick-commerce rollout in FY27 (pilots already >20% gross margin, breakeven in 3-4 months) plus the Amazon Now ramp. The biggest watch-point for next quarter is whether margin expansion holds against competitive pricing, and whether large platforms start in-sourcing last-mile. Action: this is an ACCUMULATE, not a chase — at 105x trailing the stock is priced for perfection; add aggressively only on dips toward Rs. 165-185, and trim if margins miss for two consecutive quarters.

1 — Financial Performance Snapshot

- Revenue: Rs. 1,237 Cr | YoY +74% | QoQ +6.7% | **Beat**
- EBITDA (adj, FY26): Rs. 159 Cr | ~3x FY25 | Q4 margin ~4.5% record | **Beat**
- EBITDA Margin %: Q4 ~4.5% vs ~1.7% YoY | +-280 bps YoY | **Beat**
- PAT: Rs. 56 Cr vs Rs. -10 Cr YoY | FY26 Rs. 112 Cr vs Rs. 6 Cr | **Beat**
- EPS (Q4): Rs. 0.96 | FY26 Rs. 1.92 | **Beat**
- NOTE: PAT aided by near-zero tax (carry-forward losses) and other income; clean operating trend nonetheless strong.

2 — Segment / Geography Breakdown

- Express (parcels, reverse pickups, large shipments): primary engine; large-shipment capability up 3-4x YoY.
- Hyperlocal (food, quick commerce, mobility): quick-commerce delivery revenue +80% YoY in FY26.
- D2C / SME focus: D2C grew ~2.5x YoY; carries 15-20% higher incremental margin than platform volumes.
- Geography: pan-India across 2,300+ cities; touchpoints 4,200 to 4,700 in six months; targeting 17,000 pin codes by FY27.

3 — Management Commentary Themes

- Share gains: "3PL share to 28-29% from 17-18%" — Our read: structural land-grab continuing. Tag: GUIDANCE. Tone: Transparent.
- Vertical QC: 3PL is "the natural answer" for vertical quick commerce — Our read: differentiated, higher-margin TAM. Tag: EST. Tone: Transparent.
- AI as operating layer: "super majority of code now AI-written" — Our read: efficiency lever, watch for proof. Tag: EST. Tone: Hedged.

- Margin walk: +100-120 bps/yr to FY28, then +200-250 bps/yr — Our read: credible but execution-dependent. Tag: GUIDANCE. Tone: Transparent.
- Macro: e-commerce "accelerates" in volatile periods; fuel surcharges in contracts — Our read: reasonable mitigation. Tag: EST. Tone: Balanced.

4 — Operating & Business Metrics

- Combined orders (Q4): 22.6 crore (express + hyperlocal) | Shipment growth ~100.8% YoY | Trend: improving.
- Touchpoints: 4,700 (now) vs 4,200 (6 months ago) | adding 120-150 pin codes/month | Trend: improving.
- Large-shipment pin codes: ~6,000 (now) targeting 10,000 in FY27 | Trend: improving.
- Lost-shipment / QC cost: 6.1% of cost in Q4 FY26 targeting 4-5% long-term | Trend: improving.
- EBITDA-profitable quarters: 12 consecutive | Trend: stable-positive.

5 — Margin Drivers

- Operating leverage on fixed sorting/hub network: positive | Recurring: Yes — core driver of the margin walk.
- Mix shift to D2C/SME & large shipments: +15-20% incremental margin | Recurring: Yes.
- AI-led routing/rider acquisition efficiency: positive | Recurring: Yes (early, unquantified).
- Lost-shipment/QC cost reduction (6.1% to 4-5%): positive | Recurring: Yes — image-recognition tech.
- Vertical-QC dark stores: pilots >20% gross margin | Recurring: Yes once scaled (capex-heavy near term).

6 — Guidance & Forward Signals

- Adj. EBITDA margin [GUIDANCE]: +100-120 bps/yr to FY28, then +200-250 bps/yr | Delta: reaffirmed/raised | Credibility: Medium-High.
- Steady-state EBITDA margin [GUIDANCE]: early double-digits (longer term) | Credibility: Medium.
- Dark stores [GUIDANCE]: 100 in FY27 for vertical QC | Credibility: Medium.
- Pin-code reach [GUIDANCE]: 17,000 by FY27, pan-India by FY28 | Credibility: High.

7 — Capital Allocation

- Capex: ~85% allocated to self-owned automated sorting centres & last-mile hubs | building operating leverage.
- FY26 investing outflow: Rs. -1,091 Cr | funded by Rs. 863 Cr financing (IPO + raises).
- Dividends: Nil | all cash reinvested into growth.
- Buybacks: None | active ESOP issuance ongoing.
- Net debt: low (D/E 0.14, debt Rs. 247 Cr) post-IPO recapitalisation.

8 — Q&A; Heat Map

- Sell-side: Q: margin trajectory & sustainability? -> A: detailed +100-250 bps/yr walk | Tone: Transparent.
- Sell-side: Q: quick-commerce strategy & dark-store economics? -> A: 100 stores, >20% GM pilots, 3-4 month breakeven | Tone: Transparent.
- Sell-side: Q: competition / in-sourcing by platforms? -> A: 3PL natural for vertical QC; multi-category moat | Tone: Balanced.
- Sell-side: Q: AI impact quantification? -> A: qualitative ('super majority of code AI-written') | Tone: Hedged.
- Dodged / watch-list next quarter: precise client concentration, quantified AI cost savings, dark-store capex per store.

9 — Risks Flagged

- Geopolitical volatility & crude inflation: flagged by mgmt | Probability: M | Impact: L-M | Timeline: near-term (surcharge-mitigated).

- Competitive pricing pressure on margins: flagged by analysts | Probability: M | Impact: H | Timeline: ongoing.
- Platform in-sourcing of last-mile: implicit | Probability: M | Impact: H | Timeline: medium-term.
- Dark-store execution/capital intensity: flagged by analysts | Probability: M | Impact: M | Timeline: FY27.

10 — Analyst Verdict

- Revenue visibility: **Intact** — ~100% shipment growth, share gains, expanding pin-code reach.
- Margin trajectory: **Intact** — record Q4 margin, credible multi-year walk; execution-dependent.
- Capital allocation quality: **Intact** — disciplined network capex (85%), clean balance sheet post-IPO.
- Competitive moat: **Intact** — multi-category crowdsourced last-mile network, reverse-logistics leadership.
- Management credibility: **Intact** — decade of execution, transparent guidance, 0% pledge.
- Valuation comfort: **Weakened** — 105x trailing / 6.7x book leaves no margin of safety at CMP.
- Conviction call: **Unchanged** — ACCUMULATE on weakness; quality is high but price is rich.
- Valuation snapshot: P/E = 105 (Fwd 52.4) | EV/EBITDA = 45.7 | RoCE = 9.4% | RoE = 10.4% (limited history — listed Jan-2026).

Disclaimer: This report is for informational purposes only and does not constitute investment advice or a solicitation to buy or sell securities. All financial data sourced from Screener.in (fetched 07-Jun-2026); FY27E/FY28E figures are author estimates. The author is not a registered investment adviser. Investors should conduct their own due diligence and consult a licensed financial adviser before investing.